



Stock Analysis Report
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Current Price	Market Cap	P/E Ratio	Sector
\$391.20	\$1.47T	355.6	Consumer Cyclical

Investment Rating: Hold

Tesla's current valuation reflects high growth expectations, but recent financial performance and market conditions suggest caution. While the company's long-term prospects remain strong, investors should be mindful of short-term volatility and operational challenges.

1. Company Overview

Tesla, Inc. is a leading electric vehicle (EV) manufacturer that also engages in energy generation and storage solutions. Operating primarily in the United States and China, Tesla has pioneered the transition to sustainable energy with its innovative automotive technologies and energy products. The company is known for its direct-to-consumer sales model, extensive Supercharger network, and continuous software updates, which provide a competitive edge over traditional automakers. Tesla's brand strength, coupled with its visionary leadership under Elon Musk, positions it as a formidable player in the rapidly growing EV market, where it enjoys a significant first-mover advantage and brand loyalty.

2. Fundamental Analysis

Key Financial Metrics

Metric	Value	Metric	Value
Market Cap	\$1.47T	Revenue	\$94.83B
P/E (TTM)	355.6	Net Income	\$3.79B
P/E (Fwd)	139.19579	EBITDA	\$10.50B
P/B Ratio	17.865461	EPS (TTM)	\$1.1
PEG Ratio	None	EPS (Fwd)	\$2.81043
Profit Margin	4.0%	ROE	4.9%
Op. Margin	4.7%	ROA	2.1%
D/E Ratio	17.763	Current Ratio	2.164
Div. Yield	N/A	Rev. Growth	-3.1%

Tesla's financial health shows a mixed picture. With a market capitalization of \$1.47 trillion and a current price of \$391.20, Tesla is valued at a premium compared to traditional automakers, as evidenced by its trailing P/E of 355.64 and forward P/E of 139.20. Despite a gross margin of 18.03%, the company's profit margin is relatively low at 4.00%, indicating high operational costs or pricing pressures. The decline in revenue growth (-3.10%) and a significant drop in earnings growth (-60.60%) raise concerns about the company's ability to sustain its historical growth trajectory. However, Tesla's balance sheet remains robust with a low debt/equity ratio of 17.76 and a strong current ratio of 2.164, supported by \$44.06 billion in cash, which provides financial flexibility for future investments.

3. Technical Analysis



Indicator	Value	Signal
Trend	Bearish	—
SMA 50	\$420.64	Below
SMA 200	\$393.45	Below
RSI (14)	45.44	Neutral
MACD	-7.0343	Bearish
Support	\$387.53	—
Resistance	\$467.45	—

Tesla's technical indicators suggest a bearish trend, with the current price of \$391.20 below both the 50-day SMA (\$420.64) and the 200-day SMA (\$393.45). The RSI of 45.44 indicates neutral momentum, but the MACD of -7.0343 signals bearish momentum. Key support is identified at \$387.53, with resistance at \$467.45. The stock's recent performance, including a 4-week losing streak, suggests potential further downside unless it can break through resistance levels. Investors should watch for a reversal signal or increased buying volume to indicate a potential trend change.

4. Competitor Comparison

Ticker	Market Cap	P/E	Rev Growth	Margin	ROE
TSLA ★	\$1.47T	355.63635	-3.1%	4.0%	4.9%
F	\$46.56B	None	-4.8%	-4.4%	-20.2%
GM	\$67.53B	22.137615	-5.1%	1.5%	4.3%
NIO	\$14.82B	None	75.9%	-17.8%	-1.2%
RIVN	\$18.44B	None	-25.8%	-67.7%	-65.0%
LCID	\$3.24B	None	1.2%	-2.0%	-66.0%

Compared to its peers, Tesla's valuation metrics are significantly higher, reflecting its market leadership and growth potential. While traditional automakers like Ford and GM have lower P/E ratios, Tesla's forward P/E of 139.20 suggests expectations of substantial future growth. However, Tesla's profit margins are modest compared to the negative margins of competitors like NIO and Rivian, indicating better operational efficiency. Tesla's ROE of 4.93% is higher than most competitors, demonstrating effective use of equity. Despite its premium valuation, Tesla's strong brand, innovation, and financial health provide it with a competitive edge in the EV market.

5. Sector Outlook

Period	XLY	S&P 500	vs. Market
1 Year	13.3%	18.8%	-5.5%
3 Years	60.6%	73.4%	-12.8%
5 Years	39.0%	78.6%	-39.6%

The consumer cyclical sector, particularly the auto manufacturing industry, is poised for significant growth driven by the global shift towards electric vehicles. Regulatory support for sustainable energy, advancements in battery technology, and increasing consumer demand for eco-friendly vehicles are key tailwinds. However, the sector faces headwinds from supply chain disruptions, geopolitical tensions, and potential regulatory changes. Over the next 1-5 years, companies that can innovate and scale production efficiently, like Tesla, are likely to capture significant market share in the burgeoning EV industry.

6. News Sentiment

Recent news sentiment around Tesla is mixed. Positive developments include strong sales growth in China, which could signal a rebound in its auto business. However, challenges such as leadership turnover and legal issues related to its FSD technology could impact investor confidence. The focus on robotics and AI, as suggested by the company's strategic shift, highlights Tesla's ambition to diversify its technological capabilities, which could provide long-term growth opportunities if executed well.

7. Price Forecast

Current Price: \$391.2

Timeframe	■ Bear Case	■ Base Case	■ Bull Case
1 Year	\$350	\$420	\$480
3 Years	\$400	\$500	\$600
5 Years	\$450	\$600	\$800

1-Year Outlook: In the bull scenario, successful product launches and market expansion drive growth. The base case assumes steady recovery in earnings and market sentiment. The bear case considers continued operational challenges and market volatility.

3-Year Outlook: The bull case assumes Tesla solidifies its leadership in the EV market with technological advancements. The base case projects moderate growth aligned with sector trends. The bear case considers competitive pressures and regulatory hurdles.

5-Year Outlook: Long-term growth driven by global EV adoption and energy solutions in the bull case. The base case assumes consistent market share growth. The bear case considers potential macroeconomic downturns and increased competition.

8. Risk Factors

- 1. Regulatory Risk:** Changes in government policies or regulations could impact Tesla's operations and profitability.
- 2. Competitive Risk:** Increased competition from established automakers and new entrants could pressure margins and market share.
- 3. Operational Risk:** Supply chain disruptions or production issues could affect delivery timelines and financial performance.
- 4. Market Risk:** Economic downturns or shifts in consumer preferences could reduce demand for EVs.
- 5. Technology Risk:** Failure to innovate or issues with new technologies, such as FSD, could impact Tesla's competitive position.

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